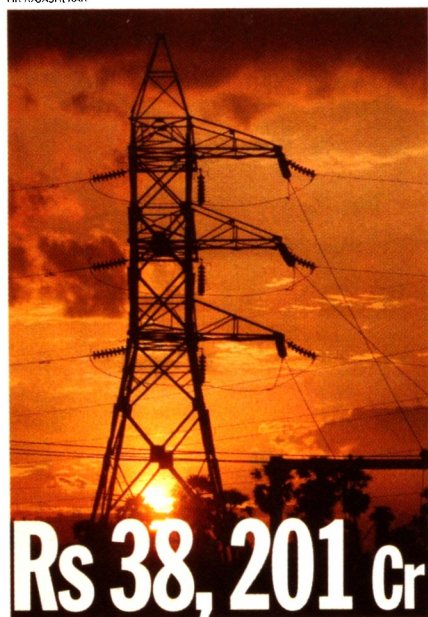


HK RAJASHEKAR



## Rs 38,201 Cr

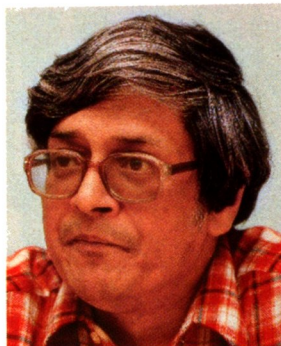
**Estimated off-budget liabilities of state governments which are mostly dues owed to ELECTRICITY BOARDS as also other utilities.**

**WHY:** while regimes offer free power, they don't provide for the loss of revenue.

**RESULT:** state electricity boards end up holding the can.

**WAY OUT:** SEBs must be revamped and subsidies should be located in the budget.

tilisers at an 'affordable' price to farmers. Simply, the Government pays subsidies to fertiliser companies based on a formula on what they produce at what capacity. A simpler system would be to improve credit for farmers, perhaps at discounted rates targeted at marginal farmers. But that is something that governments have been loathe to do. In fact, a new GOM has been set up to create a more complex system based on nutrients used. The emerging formula could test the wits of nuclear physicists. Last year fertiliser companies petitioned the Government



**"When growth is good, tax revenue is buoyant, this accounting-cum-budgeting problem should be resolved."**

**BIBEK DEBROY,**  
Professor, Centre for Policy Research



**"It's worrisome as fiscal targets carry credibility only when they are embedded in a transparent system."**

**INDIRA RAJARAMAN,**  
RBI Chair Professor, NIPFP



**"Best time for fiscal trimming is when the economy is buoyant. We should discharge obligations transparently."**

**AJIT RANADE,**  
Chief Economist, Aditya Birla Group

on arrears of subsidies amounting to Rs 8,788 crore. It was disputed last year but this year the same amount has been paid out of the current year's allocation of Rs 22,451 crore. But now ministry officials reveal that rising input costs could see the allocation exhaust by end-September and the subsidy bill could touch Rs 50,000 crore. Which means the saga of arrears could well be repeated.

To be fair, the expenditure on special securities worth Rs 16,200 crore issued to FCI may be the result of a one-time confusion between the food and rural development ministries as to who will fund the issue of grains as part-payment to SGRY workers. But there are problems galore with the food subsidy system. Union Food and Agriculture Minister Sharad Pawar has already prophesied that the rising demand for grains and falling procurement will render India one of the largest importers of foodgrain by 2011. How will the Government fund the price volatility of the foodgrain market with a fixed subsidy? Obviously, the system needs a total revamp. A series of NSSO studies and PEO reports by the Planning Commission have long since emphasised shifting from the FCI model to direct subsidy to the poor through smart cards. But on the ground there is little movement beyond pilot projects. The problem of

losses of utilities is similarly a saga of much deliberation and little action.

History may repeat itself in 2007-08. Rising crude oil costs which impact fertiliser and fuel pricing and the volatility of the foodgrain market will make the task of tallying both sides of the ledger tougher. As product pricing will continue to dominate political mindscape, it is imperative that the Government work out methods to make all political subsidies explicit rather than resort to creative accounting. As Rajaraman says, "Even if we have unsolved subsidy problems, official admission of their fiscal magnitude can only help and not hurt." Debroy agrees. "When growth is good and tax revenue is buoyant, one should resolve this accounting-cum-budgeting problem, even if we fail to tackle the issue of targeting subsidies." The resultant higher and explicit subsidy statement will deliver political dividend and the much needed transparency. More importantly, it would give the nation an idea of the magnitude of the costs and the extent of poverty.

And what better time than when the nation is promised a 9 per cent GDP growth and coffers are swelling with rising revenue collections. It would also provide a starting point for serious resolution of a long pending problem. The arithmetic of growth will enable reconciliation of politics and economics. ■